

22 Sep 2026 01:12:32 ET | 12 pages

Alibaba Group Holding (BABA.N)

Apsara Conference 2026 Takeaways (1) - AI Infra to Reach 20GW By 2032

CITI'S TAKE

Our preliminary view is that Alibaba CEO Mr. Wu's message of 20GW AI infra by 2032 or our view of FY2033 could translate to US\$160bn external cloud revs by FY2033, which could imply incremental \$60bn from our current estimate of US\$100bn in FY2031. This also suggests Revs CAGR of ~40% from FY2026 to FY2033, implying fast growth momentum is sustained. While Ali has not provided update to its Rmb380bn capex guidance, as Mr. Wu previously mentioned in its earnings call, we believe capex spend could remain at a high level in coming years, we also expect a portion of the infrastructure capacity would be supported by collaboration with industry partners at the OPEX level. We reiterate our Buy rating and TP of US\$190/HK\$189.

Rise of machine thinking - Alibaba Group CEO Mr. Eddie Wu shared current AI development is heading towards artificial intelligence (ASI) with diverse applications such as vibe coding and long-horizon tasks and clearer path for recursive self-improvement (RSI). Machine intelligence may further unlock new productivity and revolutionize existing human workflow. Mr. Wu saw two key observations in future AI development. First, while machine thinking currently represents only 3% of human thinking capacity, Mr. Wu believes there is potential for machine thinking to expand to over 1,000x of all humanity combined, driving supply revolution in scalable AI output and demand change to unlock new scenarios beyond existing human activities. Second, Ali also believes machine intelligence's defining products are yet to come despite a lot of AI-native products available currently.

Foundation of machine intelligence - Heading towards the machine intelligence era, Ali believes **AI models, AI chips and AI cloud** would form the essential foundations.

- Ali observed a clearer path for its AI models towards ASI covering more scenarios such as coding, office and scientific research to complete real missions with early exploration and progress achieved in RSI. Ali plans to develop **5-10T AI models** in future iteration to complete more complex and long-horizon tasks while **multimodality** remains essential for human interaction.
- AI chips represents boundless power for machine intelligence and T-Head covers a full set of chip capabilities including Zhenwu (AI chip), Yitian (server CPU), Panmai (intelligent network), ICN Switch (scale-up inter-chip network), Zhenyue (eSSD storage controller). Zhenwu M890 is able to train

Buy

Short-Term View: Upside, expires 18-OCT-26

Price (21 Sep 26 16:00)	US\$115.75
Target price	US\$190.00
Expected share price return	64.1%
Expected dividend yield	1.7%
Expected total return	65.9%
Market Cap	US\$287,711M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

2trn parameter models under largescale chip cluster and supernode with network and inference optimization. Ali also unveiled its **new AI chip V900** with performance 3x higher than M890 and a single cluster built on it supporting up to 500,000 cards.

- AI cloud represents a supergrid for machine intelligence supporting multiple AI applications on cloud connectivity. Ali continues to see strong customer demand for its AI cloud including GPU, CPU, network, storage, database optimization. While AI supply remains as a constraint despite accelerating AI cloud revenues, AliCloud plans to expand its **AI infrastructure to 20GW by 2032**, representing 10x larger the capacity in 2022.

Alibaba Group Holding

Valuation

Our target price for Alibaba N-shares of US\$190 is based on 10x P/E on FY2027E Ecommerce group net profit, 7.0x P/S on FY2027E AI Cloud and Compute Services revenue, 5.0x P/S on AI Labs and Applications revenue, and 0.2x P/S on all other businesses. Our target multiples are benchmarked against comps. We also assign a 30% discount to net cash position, in-line with our SOTP for other internet peers. Our SOTP fair value comes to US\$190 per share.

Risks

Key downside risks that could prevent the shares from reaching our target price include: (i) failure in executing its new retail strategy; ii) investment spend and margins pressure become worse than expected; iii) slowdown of user traffic and online GMV and losing appeal to brands & merchants; iv) integration risks for newly acquired entities; v) slowdown of the Chinese and global economies and overhang of US-China or other trade disputes; and vi) regulatory risks on poor product quality and integrity of merchants.

Alibaba

(9988.HK; HK\$112.6; 1; 21 Sep 26; 16:10)

Valuation

Our target price for Alibaba H-shares of HK\$189 is based on 10x P/E on FY2027E Ecommerce group net profit, 7.0x P/S on FY2027E AI Cloud and Compute Services revenue, 5.0x P/S on AI Labs and Applications revenue, and 0.2x P/S on all other businesses. Our target multiples are benchmarked against comps. We also assign a 30% discount to net cash position, in-line with our SOTP for other internet peers. Our SOTP fair value comes to HK\$189 per share.

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Appendix A-1

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Alibaba (9988.HK)
Ratings and Target Price History
Fundamental Research

Analyst: Alicia Yap, CFA



Date	Rating	Target Price	Closing Price
1 08-Oct-23 17:09:43	1	*144.00	82.16
2 16-Nov-23 18:13:37	1	*140.00	80.62
3 09-Jan-24 13:40:44	1	*122.00	69.13
4 07-Feb-24 18:37:09	1	*124.00	74.23
5 09-Apr-24 18:25:26	1	*122.00	69.87
6 15-May-24 04:34:45	1	*120.00	81.91
7 15-Aug-24 16:50:03	1	*115.00	75.80
8 29-Sep-24 22:45:36	1	*135.00	101.70

Date	Rating	Target Price	Closing Price
9 09-Oct-24 09:54:52	1	*133.00	102.09
10 17-Nov-24 16:15:27	1	*132.00	86.52
11 09-Jan-25 17:58:55	1	*137.00	79.97
12 20-Feb-25 16:33:13	1	*166.00	119.95
13 08-Apr-25 05:01:59	1	*165.00	101.70
14 10-Jul-25 07:57:24	1	*144.00	103.20
15 31-Aug-25 17:30:14	1	*183.00	115.70
16 24-Sep-25 15:11:51	1	*215.00	174.00

Date	Rating	Target Price	Closing Price
17 08-Oct-25 07:59:47	1	*216.00	177.60
18 25-Nov-25 16:54:34	1	*223.00	157.80
19 08-Jan-26 09:37:26	1	*195.00	142.60
20 19-Mar-26 16:25:38	1	*199.00	132.00
21 08-Apr-26 06:24:46	1	*204.00	126.50
22 13-May-26 16:47:38	1	*207.00	132.80
23 08-Jul-26 06:13:19	1	*191.00	107.50
24 20-Aug-26 17:54:18	1	*189.00	126.20

*Indicates Change

Rating/target price changes above reflect Eastern Time

Alibaba Group Holding (BABA)

Ratings and Target Price History Fundamental Research

Analyst: Alicia Yap, CFA



	Date	Rating	Target Price	Closing Price
1	08-Oct-23 17:09:43	1	*147.00	84.66
2	16-Nov-23 18:13:37	1	*142.00	77.82
3	09-Jan-24 13:40:44	1	*125.00	70.85
4	07-Feb-24 18:37:09	1	*126.00	72.44
5	09-Apr-24 18:25:26	1	*124.00	71.80
6	15-May-24 04:34:45	1	*122.00	79.67
7	15-Aug-24 16:50:03	1	*116.00	78.91
8	29-Sep-24 22:45:36	1	*136.00	106.48

*Indicates Change

	Date	Rating	Target Price	Closing Price
9	09-Oct-24 09:54:52	1	*135.00	107.04
10	17-Nov-24 16:15:27	1	*133.00	87.89
11	09-Jan-25 17:58:55	1	*138.00	83.03
12	20-Feb-25 16:33:13	1	*170.00	134.90
13	08-Apr-25 05:01:59	1	*169.00	98.59
14	10-Jul-25 07:57:24	1	*148.00	106.64
15	31-Aug-25 17:30:14	1	*187.00	135.00
16	24-Sep-25 15:11:51	1	*217.00	176.44

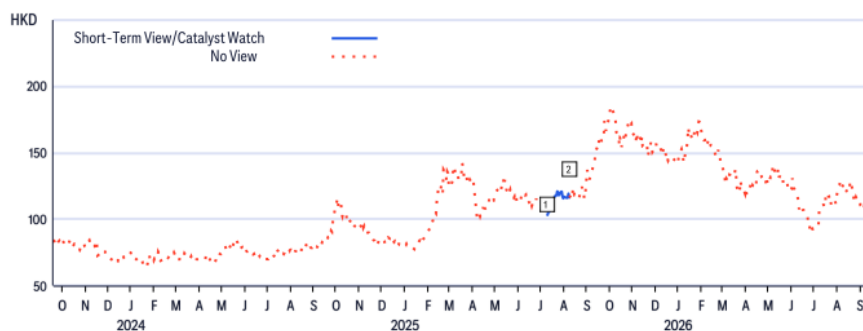
	Date	Rating	Target Price	Closing Price
17	08-Oct-25 07:59:47	1	*218.00	181.12
18	25-Nov-25 16:54:34	1	*225.00	157.01
19	08-Jan-26 09:37:26	1	*197.00	154.47
20	19-Mar-26 16:25:38	1	*200.00	124.90
21	08-Apr-26 06:24:46	1	*205.00	125.32
22	13-May-26 16:47:38	1	*208.00	145.81
23	08-Jul-26 06:13:19	1	*192.00	108.98
24	20-Aug-26 17:54:18	1	*190.00	130.53

Rating/target price changes above reflect Eastern Time

Alibaba (9988.HK)

Short-Term View/Catalyst Watch Research

Analyst: Alicia Yap, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	10-Jul-25 03:57:24	Add STV	Downside	30 Days	103.20

CW - Catalyst Watch, STV - Short-Term View

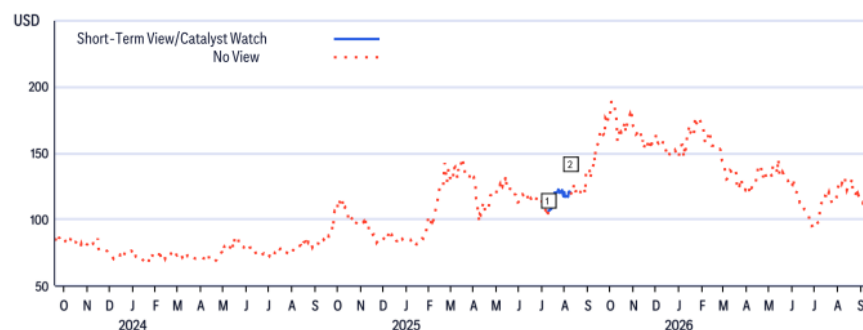
	Date	Action	Expected Direction	Duration	Closing Price
2	08-Aug-25 14:18:01	Remove STV	Downside	30 Days	116.30

Rating/target price changes above reflect Eastern Time

Alibaba Group Holding (BABA)

Short-Term View/Catalyst Watch Research

Analyst: Alicia Yap, CFA



	Date	Action	Expected Direction	Duration	Closing Price
1	10-Jul-25 03:57:24	Add STV	Downside	30 Days	106.64

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
2	08-Aug-25 14:17:52	Remove STV	Downside	30 Days	120.36

	Date	Action	Expected Direction	Duration	Closing Price
3	18-Sep-26 06:05:47	Add STV	Upside	30 Days	113.24

Rating/target price changes above reflect Eastern Time

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Citigroup Global Markets Asia Limited

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